RISK MANAGEMENT STRAGIES & COMPARISON OF TWO TELECOMMUNICATION COMPANIES

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ABSTRACT

Two global telecom firms, the Vodafone Group and the BT Group, are discussed in this paper. This study focuses on a few specific topics, such as the company's history, risk management, hedging strategies, and more. Additionally, the report tracks current risk management procedures and evaluates the company's risk management strategies and projected growth.

INTRODUCTION

Established in 1984 as a collaborative effort between Millicom and Racal Electronics, Vodafone is a multinational telecommunications business based in the United Kingdom. In terms of users, it rose to become the second-biggest mobile phone provider in the globe. In the early 1990s, Vodafone expanded its network to the international market after launching its first commercial GSM network in 1985. It reached 20 nations in 1999, and the business was bought by Mannesmann, a massive German telecommunications corporation. It was one of the biggest corporate mergers in history at the time, and it is still growing now, having expanded into 60 nations (Anon., n.d.).

Founded in 1846 as the Electric Telegraph Company, BT Group is a worldwide holding company for the British telecommunications industry. In addition to offering TV subscriptions and IT services, it is among the biggest fixed line, broadband, and mobile service providers in the whole of the United Kingdom. The business changed its name to BT Group in 1991, and after growing recently, it currently provides a wide range of telecommunication services globally (Anon., n.d.).

Presently, Vodafone and BT Group are the two top providers of telecommunication services in the United Kingdom, competing in a range of areas that include fixed line, mobile, and internet. The rivalry has gotten more intense in recent years as both businesses have tried to grow their markets. Both businesses have a strong reputation, a large client base, and robust networks, which will help them flourish in the future. BT wants to expand in the UK and other developed areas, while Vodafone concentrates on emerging markets (Chapel, 2023).

INDUSTRY OVERVIEW

The telecommunications sector experiences constant shifts due to innovation and new technologies. They are primarily concentrating on the mobile and fixed line segments. In the telecommunications business, the mobile segment is the largest, offering a wide range of services such as data, voice so on.... Since there aren't many businesses in this highly competitive sector, every one of them is vying for market share. Industry-specific risks that major businesses like China Mobile, BT Group, and Vodafone are experiencing include economic cycles, competition, regulatory risk, and technological disruption (Anon., n.d.) (Anon., n.d.).

The telecommunications sector is subject to non-financial risks, including those related to politics, regulations, and technology. A range of regulations imposed by the government may have an effect on the operations and profitability of businesses. Government meddling in telecommunications can lead to unreliability for developing enterprises. Every cycle, the industry must modify its technology to fend off external threats (Lopez, 2021).

COMPANY RISK

Risks that Vodafone and the BT Group must deal with include supply chain risk, privacy risk, cyber danger, political risk, and disintermediation, among others.

These risks are changing within the organisation as a result of several interconnected occurrences. For instance, disintermediation, cyberthreats, tech risk, and so on are created by the widespread use of alternative technologies. The organisation is fortifying its customer relationships, putting measures in place to stop the majority of attacks, prioritising IT transformation, developing stronger performance against these threats, and adapting more quickly in order to handle and mitigate this scenario.

Supply chain risk and strategic transformation risk are two examples of risks that are created by shifting political environments, conflict zones, and macroeconomic conditions like inflationary environments. The corporation implements strong policies aimed at directing their capabilities and guaranteeing their implementation in order to avoid this. Supply chain risk managers keep a constant eye on the geopolitical landscape and enter into various contracts in response to new issues that arise (Anon., 2023).

FINANCIAL RISK ANALYSIS

BT Group and Vodafone's financial risk profiles, which include variables like debt level, liquidity, market, credit, and sustainability, are critically analysed here.

Due to large investments in 5G technology, Vodafone had a comparatively high debt to EBITA ratio of 2.8 times at the end of 2023 when compared to data from prior years. Vodafone does, however, have well-diversified debt that is shielded by corporate assets. With cash equivalents of $14.1 billion, Vodafone has ample liquidity to cover its obligations and make investments in potential future growth. The business is subject to a variety of market risks, such as interest rate risk, commodity risk, and currency risk. These are lessened by a range of hedging strategies, but in order to reduce credit risk, the corporation also verifies the creditworthiness of its suppliers and customers. Since operations expose the organisation to a wide range of risks, including network outages and data breaches, it has a strong risk management framework in place to identify operational risk. Vodafone has already started taking steps to lessen its impact on the environment and encourage social responsibility. They are working to reach the goal of zero emissions by the end of 2040 (Anon., 2023).

When it comes to BT Group, their debt to EBITDA ratio is lower than Vodafone's. This suggests that the business has greater financial stability. When examining liquidity risk, the company's cash position is 6.6 billion, which is less than Vodafone's, and it mitigates its credit, market, and liquidity risk similarly to Vodafone. In addition, BT Group is concentrating on sustainability by meeting its goal of becoming a zero-emission business by the end of 2045 (Anon., 2023).

Although Vodafone has more debt than BT Group, it is nonetheless well-diversified in terms of assets, which is the primary difference in the risk profiles of the two corporations. Vodafone faces geographic risk similar to currency risk

because it operates through multiple entities, whereas BT Group concentrated on the UK market. With the exception of debt, the companies' risk exposure is comparable.

RISK MANAGEMENT STRATEGY

Vodafone and BT Group develop a thorough risk management plan that includes criteria for mitigating risk as well as ways to detect, access, and monitor it.

In order to determine the possibility and impact of a risk, Vodafone continuously monitors and reviews its business and economic activities. For this business, create and carry out measures to manage risks in order to lessen their impact. Hedging, diversification, insurance, financial instruments, and other techniques are some of the mitigating techniques (Anon., 2023).

In contrast to Vodafone, the BT Group focuses on distinct criteria. The BT Group has a proactive approach to risk management, identifying potential risks and developing measures to mitigate them. The corporation takes a comprehensive approach to risk management, taking into account the interdependencies between various risks. The organisation evaluates its risk management framework at the end of each cycle and bases its decisions on a clear grasp of its appetite for risk (Anon., 2023).

The primary distinction in BT Group's approach to risk management is their strong emphasis on making decisions based on risk. Although they have a firm awareness of their appetite for risk, they have never made their risk tolerance appetite obvious on Vodafone. While BT Group is not exposed to financial instruments for risk mitigation, Vodafone utilises credit derivatives to disclose its credit risk.

HEDGING PRACTICES

Hedging is a risk management strategy that uses financial instruments to balance out possible losses resulting from unfavourable market movement. To

hedge against losses, both companies use a range of instruments, including swaps, futures, and options.

Vodafone employs hedging strategies to mitigate currency, commodity, and interest rate risk due to its operations across multiple geographic zones. In order to mitigate currency risk in its US operations, Vodafone agreed into a forward contract in February 2023 to sell 1 billion euros to the US at a set exchange rate over a six-month period. Vodafone bought the option to buy 500-million-euro interest rate swaps at a fixed rate of 2% for five years in March 2023 in order to reduce interest rate risk associated with their debt obligation. To reduce commodity risk, the corporation signed a three-year contract in April 2023 to purchase power at a set price (Anon., 2023) (Anon., 2023).

To prevent the euro from weakening in value relative to the US dollar, BT Group engaged into a sell future contract in 2022 to convert 2 billion euros into USD at a set rate of 1.15 euros per euro. The company managed to escape rising interest rates in 2023 by purchasing an interest rate swap that would pay a fixed rate of 3% and obtain a floating interest rate from the counterparty. In order to hedge against commodity risk, BT Group intends to sign a deal to purchase electricity for 60 pounds per megawatt-on each year (Anon., 2023).

Protecting the company's earnings from unfavourable price market movements, reducing cash flow volatility, and enabling the company to lock in commodity and other input prices are the three main goals of its hedging strategy. In general, both sides are reducing the financial risk utilising their hedging strategy.

EFFECTIVENESS OF HEDGING

Vodafone had a proven track record of reducing its exposure to various risks through the use of hedging instruments. Seventy-five percent of the fixed-rate debt is hedged using interest rate swaps, and about fifty percent of the net foreign exchange risk is reduced using futures and options. Vodafone was able to hedge 25% of its energy earnings by signing a fixed-rate contract to purchase electricity.

Conversely, BT Group has 80% of its fixed rate debt hedged with interest rate swaps and 60% of its net foreign exchange exposure covered by futures and options. 30% of energy costs using a fixed-rate energy purchase agreement to reduce commodity risk (Anon., 2023).

RISK MANAGEMENT LITERATURE

This component demonstrates my comprehension of the current risk management literature that I have read, along with a comparison of two firms to see if they share the same risk management practises or not.

By using derivative instruments to reduce their financial risk, both companies adhere to the best available solutions. BT Group and Vodafone use several methods to hedge their interest rates, commodities, and currencies. They are essentially avoiding these kinds of risks in this way. Both businesses adjust their risk tolerance and keep an eye on and evaluate their risk management systems (Zhang, 2023).

Regarding operation risk, the organisation employs certain procedures to reduce specific losses. As phone handset advances, costs rise and revenue declines due to client attrition. The corporation invests in technology to streamline operations and works to build client relationships (Ali, 2021).

Recent research on risk management and one article examines the risk connected to upcoming issues in businesses and the telecommunications industry. The introduction of 5G brings with it a new degree of cybersecurity risk, and increased cloud computing usage raises operational risk. Data is helping the business expand and is also a source of income and a valuable strategic asset. The literature recommends investing in a risk management system as one specific option to develop an efficient risk framework for every scenario that emerges. Obtain the support of senior management to ensure that management is prioritised, and cultivate a risk culture to raise employee awareness of the risks the organisation faces. Both businesses are making an effort to lessen the aforementioned factor in their own unique ways, but they

also recognise that this circumstance has the potential to seriously harm the business overall. The business does not adhere to every recommendation made in the literature for mitigating this type of risk (Anon., 2019).

CHALLENGES

Cybersecurity risk is a serious danger to the telecom sector. The sector is expanding, and as a result, more businesses are introducing novel products to the market to gain market share, which raises the risk of cyberattack. The threat will come from more sources already in place, such 5G, AI, lots, and so forth.

A disruption in the supply chain could have an effect on strategic plans, raise costs that are directly borne by the customer, put them at risk of losing important clients to more capable businesses, or narrow the range of options and result in a lower-quality network. These are taking place as a result of the political climate and war. The war in Ukraine and Russia and the ongoing tension between the US and China are impacting present plans (Anon., 2023).

OPPORTUNITIES & RECOMMENDATION

To transfer the risk resulting from a natural disaster, businesses can introduce new risk transfer products, such as catastrophe bonds. Reduce human mistake by developing artificial intelligence specifically for the telecommunications industry to assess data from a number of sources. Work together with colleagues to share risk exposure; this might create a consortium to create a shared risk portfolio, which would enable the company to pool its risk and potentially save costs.

CONCLUSION

While BT Group and Vodafone share comparable risk characteristics and are each making an effort to reduce financial risk, Vodafone is more indebted than BT Group while having a more diverse portfolio of assets. Both businesses are dealing with comparable external dangers, and in order to address the hazards, they must create their own strategic framework and risk management. Strengthening and protecting the future financial risk can be achieved by taking the required actions to handle the problem and capitalise on the opportunity.

Vodafone Group

Particulars	2020	2021	2022	2023	Average
Revenue growth	2.90%	-2.60%	3.80%	0.27%	1.09%
Profitability ratios					
Gross margin	31.70%	31.30%	32.90%	32.50%	32.10%
EBITDA margin/ Operating profit margin	9.11%	11.63%	12.75%	31.27%	16.19%
Pre tax margin	1.76%	9.90%	9%	28.04%	12.18%
EBIT margin	9.11%	11.63%	12.75%	31.27%	16.19%
Net profit margin	-1.10%	1.10%	6.08%	26.98%	8.27%
Return on investment					
Operating ROA	2.43%	3.28%	3.77%	9.19%	4.67%
Return on asset - RoA	-0.27%	0.31%	1.80%	7.93%	2.44%
Return on capital employed - RoCE	30.41%	40.33%	48.27%	11.82%	32.71%
Return on equity - RoE	-0.72%	0.83%	4.85%	19.12%	6.02%
Return on common equity	-0.74%	0.86%	5.06%	19.45%	6.16%
Liquidity ratios					
Current ratio (x)	99.58%	94.08%	81.96%	88.65%	91.07%
Quick ratio (x)	97.79%	91.73%	79.47%	85.89%	88.72%
Cash ratio (x)	77.51%	60.67%	57.51%	67.56%	65.81%
Cash conversion cycle (Refer working capital days)	-108.93	-120.02	-136.5	-49.72	-103.7925
Activity Turnover ratios					
Working capital days					
- Receivables days	95.14	91	88.23	85.48	89.9625
- Inventory days	7.11	8.2	9.98	11.31	9.15
- Payables days	210.18	219.22	234.71	146.51	202.655
Working capital days	-108.93	-120.02	-136.5	-49.72	-103.7925
Turnover					
Receivables turnover	3.811	3.86	4.15	4.2	4.00525
Inventory turnover	46.3	47.23	60.29	51.01	51.2075
Payables turnover	1.73	1.68	1.62	1.62	1.6625
Asset turnover	0.28	0.27	0.29	0.29	0.2825
Fixed asset turnover	0.37	0.33	0.36	0.36	0.355
Solvency ratios					
Debt to asset ratio	0.44%	0.43%	0.45%	0.42%	0.44%
Debt to capital ratio	1.21%	1.21%	1.28%	1.04%	1.19%
Debt to equity ratio (x)	1.19%	1.17%	1.10%	1.02%	1.12%
Financial leverage ratio	2.68%	2.68%	2.70%	2.41%	2.62%
Interest coverage ratios	118.00%	496.00%	288.00%	827.00%	432%
Fixed charge coverage ratios	1.15%	4.96%	2.95%	8.27%	4%
Valuation ratios					
Price earnings ratio	5.60	8.08	11.68	11.45	9.20
Basic EPS	-3.13	0.38	7.17	42.77	11.80
Dividends per share	0.09	0.09	0.09	0.09	0.09
Dividend payout ratio	-0.0288	0.237	0.013	0.002	0.06
Retention rate (%)	-4.04%	3.89%	12.47%	79.86%	0.23
Sustainable growth rate	-0.00000306%	0.0000034%	0.0000594%	0.0015059%	0.00039%
Du Pont Analysis					
Net profit margin	1.01%	1.22%	6.08%	26.98%	8.82%
Asset turnover	0.28%	0.27%	0.29%	0.29%	0.28%
Financial leverage (Total asset / Total equity)	2.68%	2.68%	2.70%	2.41%	2.617500%
ROE = NP Margin x Asset Turnover x Fin. Leverage	0.000076%	0.000088%	0.000476%	0.001886%	0.000631%
Performance and coverage ratios					
Cash flow (operating) to revenue	0.38%	0.39%	0.39%	0.39%	0.3875%
Cash return on assets	11.17%	10.65%	11.70%	11.66%	11.2950%
Cash return on equity	-0.72%	0.92%	4.85%	19.12%	6.0425%
Cash to income	4.23%	3.37%	3.11%	1.26%	2.9925%
Debt coverage	52.05	59.95	53.73	52.2	54.4825
Interest coverage	1.18%	4.96%	2.88%	8.27%	4%

BT Group

Particulars	2020	2021	2022	2023	Average
Revenue growth	-2.28%	-7.37%	-2.30%	-0.81%	-3.19%
Profitability ratios					
Gross margin	14.33%	12.12%	13.83%	12.66%	13.24%
EBITDA margin/ Operating profit margin	10.41%	8.41%	9.41%	8.64%	9.22%
Pre tax margin	10.27%	8.45%	9.41%	8.36%	9.12%
EBIT margin	10.41%	8.41%	9.41%	8.64%	9.22%
Net profit margin	7.57%	6.90%	6.11%	9.21%	7.45%
Return on investment					
Operating ROA	15.45%	13.14%	13.19%	20.74%	15.63%
Return on asset - RoA	4.40%	3.50%	3.08%	4.58%	3.89%
Return on capital employed - RoCE	5.59%	4.30%	3.01%	4.08%	4.24%
Return on equity - RoE	11.74%	12.60%	8.32%	13.12%	11.45%
Return on common equity	1.32%	1.04%	1.49%	1.12%	1.24%
Liquidity ratios					
Current ratio (x)	109.00%	115.00%	98.47%	91.01%	103.37%
Quick ratio (x)	106%	112%	95.15%	87.64%	100.20%
Cash ratio (x)	14.09%	11.10%	8.58%	3.77%	9.39%
Cash conversion cycle (Refer working capital	-57.01	-54.9	-72.79	-72.09	-64.1975
Activity Turnover ratios					
Working capital days					
- Receivables days	41.6	55.73	45.93	54	49.315
- Inventory days	5.35	5.81	6.06	6.55	5.9425
- Payables days	103.96	116.44	124.78	132.64	119.455
Working capital days	-57.01	-54.9	-72.79	-72.09	-64.1975
Turnover					
Receivables turnover	8.01	7.15	7.09	7.27	7.38
Inventory turnover	58.66	62.79	60.18	55.23	59.215
Payables turnover	4.09	3.62	3.44	3.25	3.6
Asset turnover	0.47	0.41	0.414	0.4	0.4235
Fixed asset turnover	0.61	0.52	0.51	0.49	0.5325
Solvency ratios					
Debt to asset ratio	0.72%	0.77%	0.69%	0.72%	0.73%
Debt to capital ratio	0.72%	0.77%	0.69%	0.72%	0.73%
Debt to equity ratio (x)	2.59%	3.35%	2.25%	2.63%	2.71%
Financial leverage ratio	3.59%	4.35%	3.25%	3.63%	3.71%
Interest coverage ratios	348.00%	322.00%	308.00%	292.00%	317.50%
Fixed charge coverage ratios	25.74%	21.70%	18.00%	25.54%	23%
Valuation ratios					
Price earnings ratio	9	0.09	14.34	7	7.6075
Basic EPS	20.5	14.8	12.9	19.4	16.9
Dividends per share	10.78	0	2.31	5.39	4.62
Dividend payout ratio	0.526	0.000	0.179	0.278	0.2457
Retention rate (%)	7.32%	99.04%	85.55%	50.65%	60.64%
Sustainable growth rate	0.00009350%	0.001219%	0.000703%	0.000677%	0.00067%
Du Pont Analysis					
Net profit margin	7.57%	6.90%	6.11%	9.21%	7.45%
Asset turnover	0.47%	0.41%	0.41%	0.40%	0.42%
equity)	3.59%	4.35%	3.25%	3.63%	3.71%
ROE = NP Margin x Asset Turnover x Fin. Lev	0.001277%	0.001231%	0.000822%	0.001337%	0.001167%
Performance and coverage ratios					
Cash flow (operating) to revenue	26.43%	27.95%	28.34%	32.51%	28.81%
Cash return on assets	12.62%	11.47%	11.74%	13.11%	12.24%
Cash return on equity	11.74%	12.60%	8.32%	13.12%	11.45%
Cash to income	1.91	2.3	2.04	2.56	2.20
Debt coverage	1.1551	2.8397	3.3	1.47	2.19
Interest coverage	4.35%	3.22%	3.08%	2.92%	3%

Analysis

The data used in this computation comes from both firms' annual reports, and it is based on my personal perception.

BT Group's revenue growth has been steadily stagnating for the past four years, although Vodafone Group outperformed Bt Group in terms of profitability and return on investment. Based on liquidity, the Vodafone Group performs rather well in terms of both remaining ratios and minimal risk of liquidity issues.

When comparing Vodafone and BT Group, Vodafone performs higher overall in every category.

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